Governors and Chief Commissioners appointed by the Governor-General.

The provincial governments enjoyed a great deal of autonomy before 1833 when their power to pass laws was taken away and their expenditure subjected to strict central control. But experience soon showed that a vast country like India could not be efficiently administered on the principle of strict centralisation.

The evil of extreme centralisation was most obvious in the field of finance. The revenues from all over the country and from different sources were gathered at the centre and then distributed by it to the provincial governments. The central government exercised strict control over the smallest details of provincial expenditure. But this system proved quite wasteful in practice. It was not possible for the central government to supervise the efficient collection of revenues by a provincial government or to keep adequate check over its expenditure. The authorities therefore decided to decentralise public finance.

The first step in the direction of separating central and provincial finances was taken in 1870 by Lord Mayo. The provincial governments were granted fixed sums out of central revenues for the administration of certain services like police, jails, education, medical services, and roads and were asked to administer them as they wished. Lord Mayo's scheme was enlarged in 1877 by Lord Lytton who transferred to the provinces certain other heads of expenditure like land revenue, excise, general administration, and law and justice. To meet the additional expenditure a provincial government was to get a fixed share of the income realised from that province from certain sources like stamps, excise taxes, and income tax. Further changes in these arrangements were made in 1882. The system of giving fixed grants to the provinces was ended and, instead, a province was to get the entire income from certain sources or revenue within it and a fixed share of the income from other sources. Thus, all sources of revenue were now divided into three—general, provincial, and those to be divided between the centre and the provinces.